

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

<think>
Value of the house after repairs = 80 , 000 + 50 , 000 = 130 , 000
150 % of the original price of 80 , 000 = 0 . 5 * 80 , 000 = 40 , 000
The increase in value is 40 , 000 , so the new value of the house is 80 , 000 + 40 , 000 = 120 , 000
Profit = Selling price - Total investment
Total investment = 80 , 000 (purchase price) + 50 , 000 (repairs) = 130 , 000
Selling price = 120 , 000 (new value of the house)
Profit = 120 , 000 - 130 , 000 = - 10 , 000
Josh made a loss of 10 , 000 .
</think><answer>
Josh made a loss of 10 , 000 .

